

If the buyer of Treasury bills had any market timing sense at all, moreover, he would have bought *some* stocks at lower levels, so the stock investor of 1966, presuming equal stock selecting ability, will *never* catch him.

Even this analysis understates the case. The buy-and-hold contingent tells us that even people who bought stocks in 1929 would be fabulously wealthy today. Yet claiming that the Dow Jones Industrial Average, or even the S&P 500, represents the average investor's loss in a bear market of that magnitude is false advertising. Their conclusion would be accurate if the investor had the good fortune to buy stocks of companies that survived and prospered through the Great Depression. However, as one subscriber points out, "A really typical 1929 portfolio included Auburn, Cord, Missouri Pacific, New York Central, Pierce-Arrow and Stutz." The Dow and S&P averages do not factor in stocks of companies that go out of business, and in Supercycle declines, there are quite a few of them. There were so many in 1929-1932, in fact, that a number of *mutual funds* (then called investment trusts) even went to zero. As detailed in Chapter 5, wave (A) of the last Grand Supercycle decline, from 1720 to 1722, forced 91% of the issues traded in London off the board in a brief two years! The averages originally published for the period show a mild 66% decline because besides reflecting only year-end figures, *they omit the ruined companies*. Needless to say, the DJIA and reconstructed S&P averages for 1929-1942 do the same thing. But real people buy real stocks, and many become wallpaper. Does a single academic study or buy-and-hold thesis tell its readers what to do about such holdings in a real bear market? Do any of them take this reality into account? Many of today's hot stocks and even "aggressive growth" mutual funds face ruination in the coming bear market. To assume blithely that most investors and fund managers will magically choose only issues that will still be on the New York Stock Exchange twenty years from now is to adopt a rose-colored outlook, to say the least.

Disregarding all these facts for a moment, even if it *were* true that you would "eventually get even," why should you set yourself up for such a wait when tools exist to provide warnings of bear markets? More important, why should you endure a bear market in stocks when in most cases, such as in the 1970s, *other investments may provide profitable bull markets*?

Upon reflection, there are two reasons why someone can hold such an opinion and recommend that course of action. The first is psychological. For 200 years, the stock market has been in a Grand